

We have covered all the five elements of the G.E.T.A.I. principle. We saw that each of these elements has 2 questions that need to be evaluated. Putting all these together, we can judge our risk-taking ability in a much more objective manner. It is natural to get conflicting answers while evaluating each element. Some factors will say we have high risk-taking ability whereas others will suggest otherwise. The cumulative is what counts the most.



We will assign a score of – 0,0.5 or 1 for each of the 5 elements, add them up and the total score out of 5 will determine our Risk Score. For each element, we will check if risk taking ability is low, we will assign 0, if moderate than 0.5 and if high then 1. On adding each 5 elements, if you get a total score of less than 2, you have very low Risk Taking ability, between 2 to 3.5, you get relatively moderate Risk Taking Ability, between 3.5 to 5, we get high risk ability. We will learn in the Planning phase, how to use this Risk Taking Ability Score to decide on assets. In the Lazy Financial Plan, estimate your risk taking ability and leave it at that. This entire exercise should not take more than 15 minutes and do not update Risk Taking Ability very regularly. Do it only once every year or so. Let us look at an example to understand this better before we move forward.

